BERNSTEIN
SOCIETE GENERALE GROUP

23 October 2026



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U.S. Multi Industry & Electrical Equipment

Honeywell International Inc

Rating

Market-Perform

Price Target

HON **256.00 USD** (254.00 *OLD*)

HON 3Q26 Post Earnings: Setup looks great for 4Q and 2027, seems like very little to nitpick

Overall, we think this was a strong showing by Honeywell, and continues to give investors faith in the progress of the transformation. While we did receive some commentary earlier in the day on concerns re: orders decelerating, color on the earnings call clearly seem to have assuaged those concerns (looking at the stock's outperformance vs. the broader market). Long Only feedback in particular has been very +ve. Key highlights below.

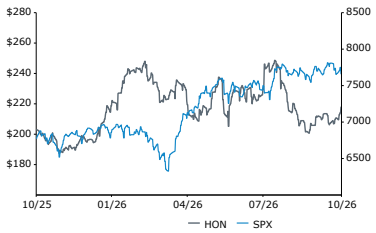
IA: The margin ramp to 22% in 4Q is largely accepted at this point of time. We think they will deliver at the upper end of LSD in 4Q for organic growth (i.e., ~3%) with a clear line of light to MSD as we enter 2027. While there was a decel in the short-cycle orders part of the business (driven by an industry-wide deferral of smart meter replacement), growth in the other parts of IA (sensing, industrial measurment) all seemed to be robust and that growth is expected to continue. We found the data center opportunity as we shift to liquid cooling as interesting kicker over baseline IA growth. **PAT:** Most questions we've received from investors relates to the margin ramp for PAT in 4Q (where there is a sequential decline) and expansion into the back half of 2027. The near-term margin deceleration relates largely to digestion of JM where there will be limited synergies this year (and revenue sequentially accelerates from 3Q to 4Q). The margin expansion into next year is supported by these JM synergies as they begin to materialize. It seems like these synergies will be higher than initially estimated by management. We found the multi-year energy upcycle narrative from management on the earnings call to be very encouraging and sets up for strong growth in out years as well. **BA:** The business continues to take share from competitors. It cannot be understated how impressive it is for this segment to see continued growth in an environment where non-residential construction in North America (ex-data centers) has been tepid. Data centers are an MSD share of this business which we expect to see expand over the next few years. Management highlighted that margins will likely expand 70 - 90bps into 4Q and expect to see "continued strength" which we interpret as BA landing in the MSD - HSD organic growth range next quarter.

Close Date	22 Oct 2026
HON Close Price (USD)	218.31
Price Target (USD)	256.00
Upside/(Downside)	17%
52-Week Range	260.15/195.77
SPX	7,663.43
FYE	Dec
Div Yield	1.3%
Market Cap (USD) (M)	69,283
EV (USD) (M)	79,690

Performance	YTD	1M	6M	12M
Absolute (%)	6.8	3.0	(5.3)	7.0
SPX (%)	11.9	(1.3)	7.4	14.4
Relative (%)	(5.2)	4.4	(12.7)	(7.4)

Source: Bloomberg, Bernstein estimates and analysis.

Price Performance, 1YR



Investment Implications

We rate Honeywell Market-Perform with a $256 target price. We use an NTM + 1 EPS of $10.61 at a 22x (raised from 20x) forward P/E multiple. Continued on next page..

Adjusted EPS	F25A	F26E	F27E
HON (USD)	6.46	**8.45**	**9.69**
OLD	--	8.31	9.72

Financials	F25A	F26E	F27E	CAGR
Revenues (M)	19,945	20,135	20,610	--

Valuation Metrics	F25A	F26E	F27E
Adjusted P/E (x)	33.8	25.8	22.5

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

First Published: 23 Oct 2026 04:01 UTC Completion Date: 22 Oct 2026 21:29 UTC

DETAILS

.. We then add ~$15 per share (down from $39) of value from their stake in QNT.The latter is driven by us marking-to-market the value of QNT vs. given the recent underperformance in QNT shares.

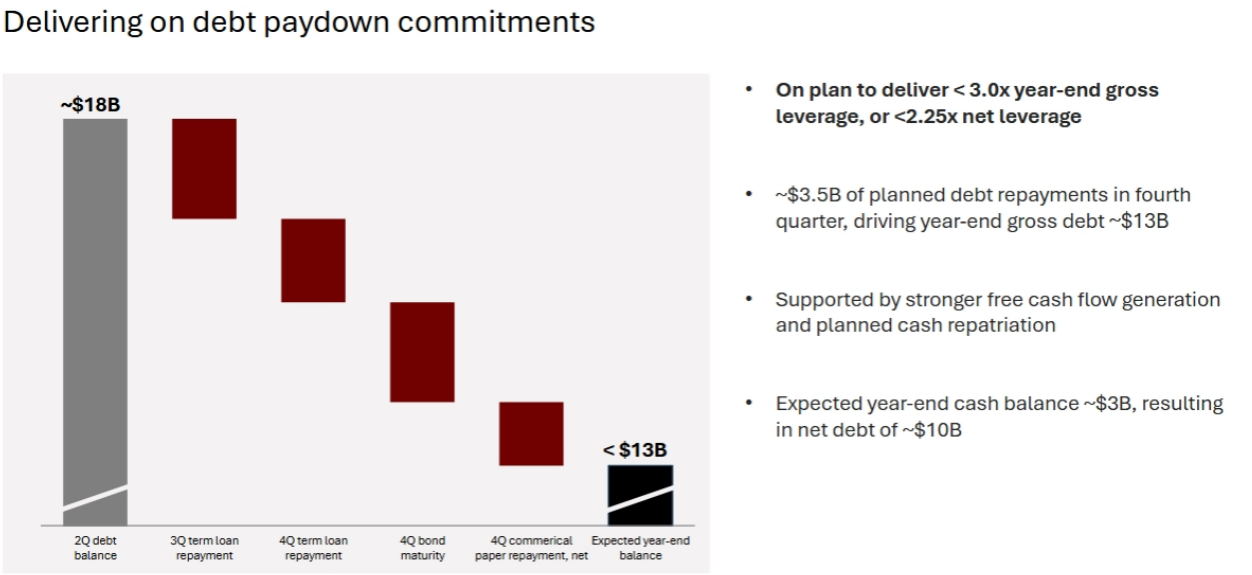
EXHIBIT 1: **HON Cons. vs reported**

Group ($m)	3Q'25 Reported	3Q'26 Reported	3Q'26 VA Cons.	YoY change	Beat / Miss vs VA Cons.	% Beat / Miss
Revenue Remain co.	4,929	4,994	4,988	+1.3%	BEAT	+0.1%
Organic growth	*1.0%*	*7.0%*	*5.4%*	*600 bps*	*BEAT*	*163 bps*
Segment profit Remain co.	**866**	**1,062**	**1,024**	**+22.6%**	**BEAT**	**+3.7%**
Segment operating margin	17.6%	21.3%	20.5%	370 bps	BEAT	77 bps
Adj. EPS ($) Remain co.	**1.70**	**2.27**	**2.17**	+33.5%	**BEAT**	+4.4%

Segments ($m)	3Q'25 Reported	3Q'26 Reported	3Q'26 VA Cons.	YoY change	Beat / Miss vs VA Cons.	% Beat / Miss
Industrial Automation						
Revenue	1,450	1115	1,116	-23%	MISS	(0.1%)
Organic growth	*1.0%*	*4.0%*	*2.0%*	*300 bps*	BEAT	200 bps
Segment operating Income	216	205	202	-5%	BEAT	+1.5%
Segment operating Margin	14.9%	18.4%	18.1%	350 bps	BEAT	29 bps
Building Automation						
Revenue	1,878	2020	2,019	8%	BEAT	+0.1%
Organic growth	*7.0%*	*8.0%*	*7.6%*	*100 bps*	BEAT	41 bps
Segment operating Income	502	546	550	9%	MISS	(0.7%)
Segment operating Margin	26.7%	27.0%	27.2%	27 bps	MISS	-24 bps
Process Automation						
Revenue	1,598	1859	1,845	16%	BEAT	+0.8%
Organic growth	*-6.0%*	*8.0%*	*6.5%*	*1400 bps*	BEAT	150 bps
Segment operating Income	389	412	401	6%	BEAT	+2.8%
Segment operating Margin	24.3%	22.2%	21.7%	-214 bps	BEAT	47 bps

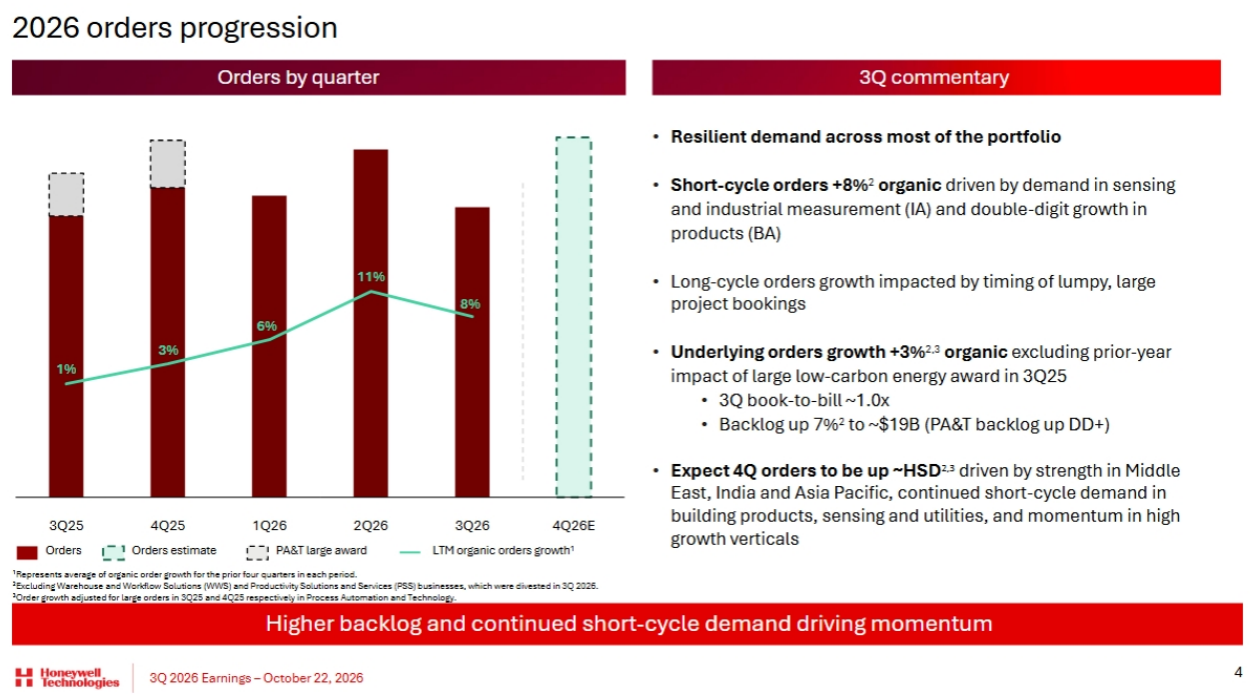
Source: Visible Alpha, Company reports, Bernstein analysis

EXHIBIT 2: **Debt paydown commitments**



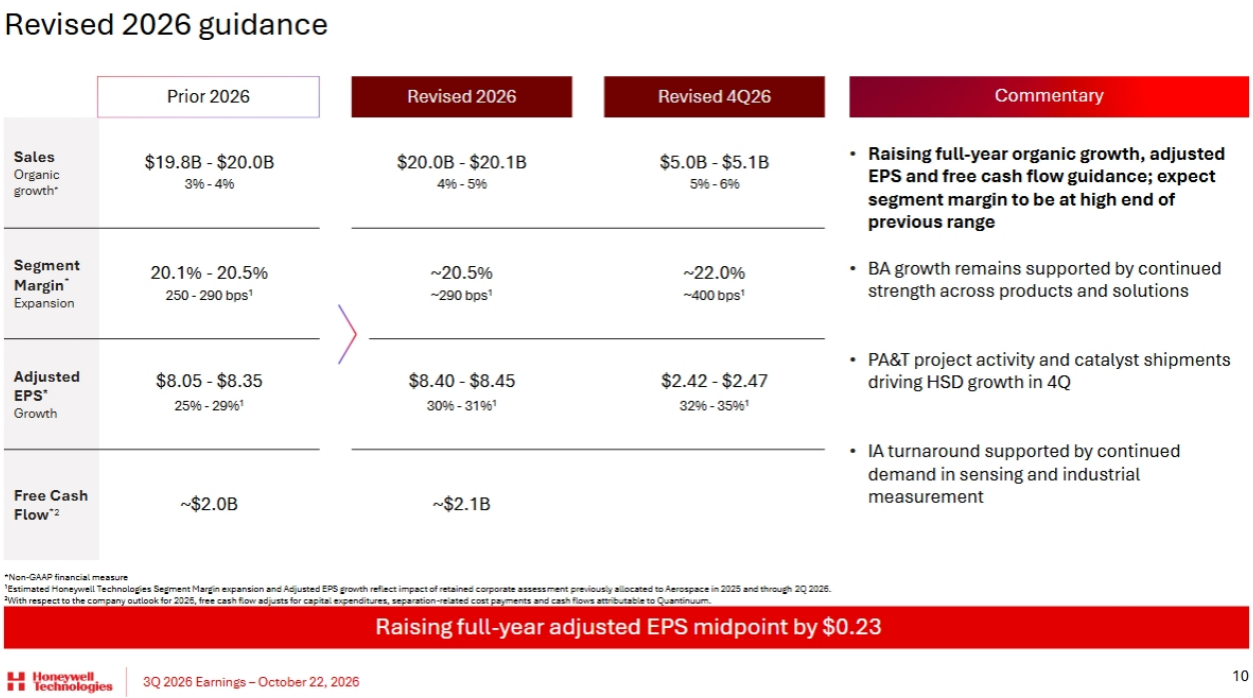
Source: Company presentation

EXHIBIT 3: **HON orders acceleration**



Source: Company presentation

EXHIBIT 4: **HON revised guidance**



Source: Company presentation

CONCALL SUMMARY

Guidance

- Management is raising full-year 2026 guidance across all metrics, including organic growth, adjusted EPS, and free cash flow, while tightening margin guidance around the previous high-end.
- Full-year 2026 organic growth is now expected to be 4% to 5%, an increase from the previous 3% to 4%, with Q4 projected at 5% to 6% organic growth.
- Full-year 2026 adjusted EPS is guided to $8.40 to $8.45, representing a $0.23 improvement at the midpoint and approximately 30% full-year earnings growth, with the low end now exceeding the previous high end.
- Full-year 2026 margin is expected at 20.5%, the high end of the range, with Q4 around 22%; Industrial Automation is targeted for 22% margin in Q4, Building Automation to expand 70-90 bps, and Process Automation Technology around 21.5% in Q4.
- Full-year 2026 free cash flow guidance is raised by $100 million to $2.1 billion, with Q4 conversion expected to be above 100%.

Margin Story

- Management reported Q3 2026 segment margin expanded 370 basis points to 21.3%, driven by productivity, accelerated stranded cost elimination, strategic pricing, and volume leverage.
- For Q4 2026, management expects full-year margin at the high-end of 20.5% and Q4 at approximately 22%, with Industrial Automation at 22% and Building Automation expanding 70-90 bps.
- Industrial Automation (IA) saw 350 basis points of margin expansion in Q3 due to price and productivity, with confidence in continued expansion towards a 25% goal by 2029.

- Process Automation & Technology (PA&T) margins contracted as expected in Q3 due to mix headwinds from higher project growth and dilution from the Johnson Matthey acquisition.
- PA&T margins are expected to expand in 2027, particularly in the second half, driven by catalyst mix, abating project volume mix, and integration of Catalyst Technologies, with significant pickup in 2028.

AI Strategy

- Honeywell Technologies is actively working on the adoption of AI, with all teams either trained or undergoing training, and having access to company models.
- This AI adoption is viewed as an opportunity to manage Operating Expense growth, aiming to keep it flat while achieving mid to high single-digit operational growth.

Inflation

- Inflation is expected to remain elevated into year-end and abate in the first half of 2027.
- Strategic pricing actions, productivity, and accelerated stranded cost elimination are mitigating rising inflation.
- Price-to-cost was about 30 basis points net positive in Q3, with average pricing of 4.5% in the second half of the year, offsetting higher inflation.
- The company is confident in navigating the inflationary environment due to strong market positions, an installed-base driven business model, and the mission-critical nature of its offerings.
- Pricing is a factor of inflation within each segment, with a narrow range of 3.5% to 4.5% across businesses, and is attained through good customer service, communication, and new product pipelines.

Backlog & Orders

- Total backlog is nearly $19 billion, representing a 7% increase excluding divestitures, with a book-to-bill ratio of 1.0x in Q3.
- The Process Automation & Technology (PA&T) segment's backlog is up double-digits, driven by large project awards, and is over 10% higher than a year ago.
- The robust backlog and commercial momentum across the business give confidence in achieving 2027 organic growth at or above the long-term algorithm, and in delivering 2029 targets.
- Industrial Automation (IA) is entering next year with its best backlog in over five years, with Q3 orders up 15% and Q4 orders expected to be up high-single-digit.
- Short-cycle orders up 8% excluding divestitures, driven by industrial and building automation.
- Demand remained strong across most of the portfolio, with double-digit growth in building automation product businesses and over 100% growth in data center vertical orders.

Labor Costs

- Construction labor or labor shortages are a trend, but management does not see them impacting revenue execution on a visible basis.
- Project delivery times are not a concern due to labor shortages, as a large portion of the backlog is outside North America, and LNG equipment is built in-house.

M&A

- Management stated that cash generation and continued leverage reduction will increase capital allocation flexibility, including capacity for disciplined M&A.

- M&A is considered an optionality, not a compulsion, as the company's 2029 earnings commitment is organic.
- The near-term priority is debt paydown, with the M&A pipeline to be worked for 2027 onwards.
- Strategic M&A areas include industrial automation (adding content in measurement and sensing), higher growth verticals, and frontier technology tuck-ins.

Macro Environment

- Management expects inflation to remain elevated into year-end and the first half of 2027, with some abatement anticipated in the latter period.
- The company is effectively mitigating inflation through strategic pricing actions, productivity, and stranded cost reduction, resulting in a net positive price-to-cost of approximately 30 basis points in Q3.
- Overall demand remains strong across most of the portfolio, driving broad-based organic growth and an 8% increase in short-cycle orders, excluding divestitures.
- Specific areas of strong demand include data center orders, which were up over 100%, and double-digit growth in building automation product businesses.
- Industrial automation product sales were roughly flat due to industry-wide deferrals in meter deployments within the utility segment, which management views as a potential upside opportunity for 2027.

Supply Chain

- Industrial Automation (IA) significantly improved its supply chain basics, with on-time delivery increasing from under 40% to 60% and past dues decreasing by 18%.
- Management is focused on supply chain from a productivity standpoint, including value engineering and component engineering, as a significant opportunity.
- Labor shortages are a trend but are not impacting revenue execution for projects, as a large portion of the backlog is outside North America, and the company has internal capacity for equipment.
- Inflation drivers, which influence pricing strategies, include supply chain components such as semiconductors, electronics, metals like copper and brass.

Pricing

- Management emphasized that strategic pricing actions were key to expanding margins by 370 basis points in Q3 2026 and offsetting rising inflation.
- The company expects to average 4% pricing for the full year 2026, with 3.5% in the first half and 4.5% in the second half, resulting in a marginal basis point level expansion from price-cost.
- Pricing actions are expected to continue mitigating high inflation, which is anticipated to persist into the first half of 2027, with the company confident in its ability to navigate this environment due to strong market positions.
- Pricing is a factor of inflation within each segment, with a narrow range of 3.5% to 4.5% across businesses, and successful attainment requires good customer service, communication, and new product pipelines.

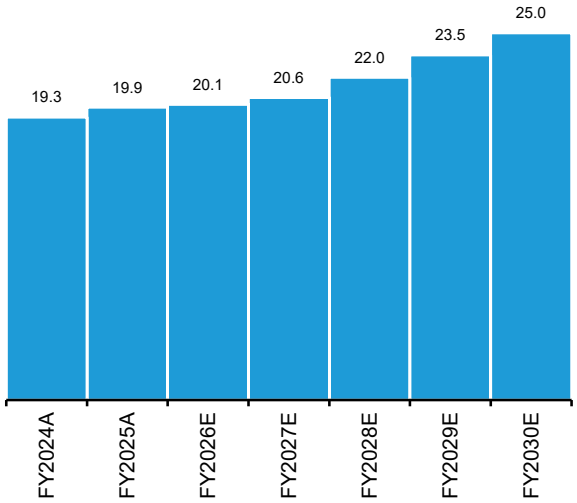
Product Development

- Management noted a higher cycle of new product introduction and vitality in fire and security, leading to market share gains.
- New fire products include solutions for data centers (early detection) and batteries (lithium-ion).

- Forge plays a role in product offerings, with three sales motions: bundled with service contracts, integrated with core products (like fire panels), and standalone SaaS software.
- Industry-wide deferrals seen in meter deployments due to individual utility testing, with major rollouts expected from 2027 onward.
- Building automation has several new product launches planned, including a cloud-based security system, a new fire system, and a refreshed Building Management System (EBI platform), primarily targeting the mid-segment.

EXHIBIT 5: **HON Revenue**

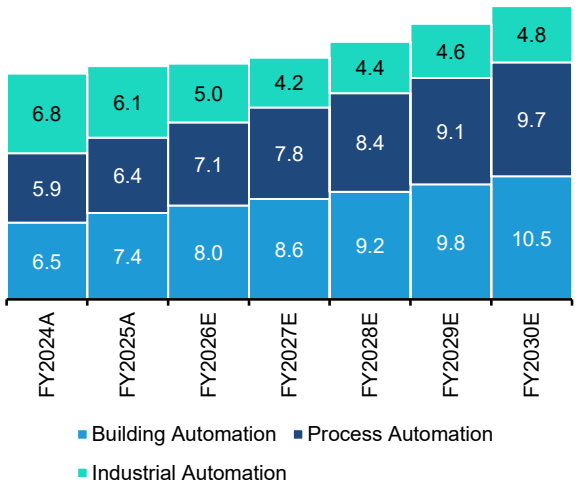
$bn



Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 6: **HON revenue per segment**

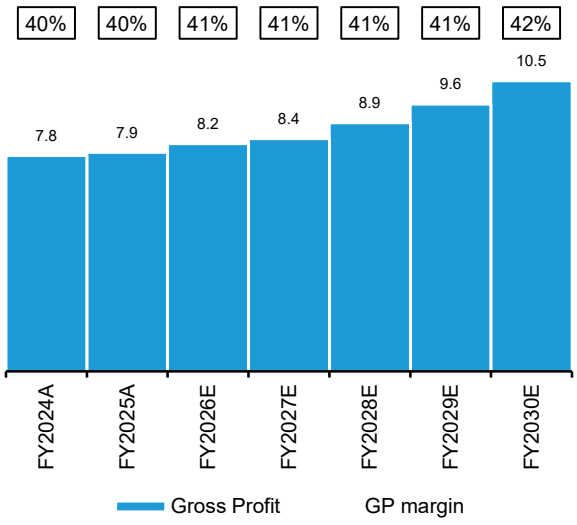
$bn



Source: Company reports, Bernstein estimates and analysis

EXHIBIT 7: **HON Gross profit & GP margin**

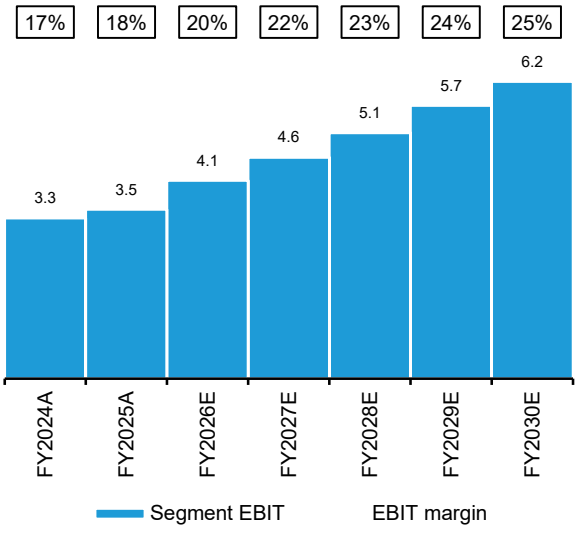
$bn



Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 8: **HON EBIT & EBIT margin %**

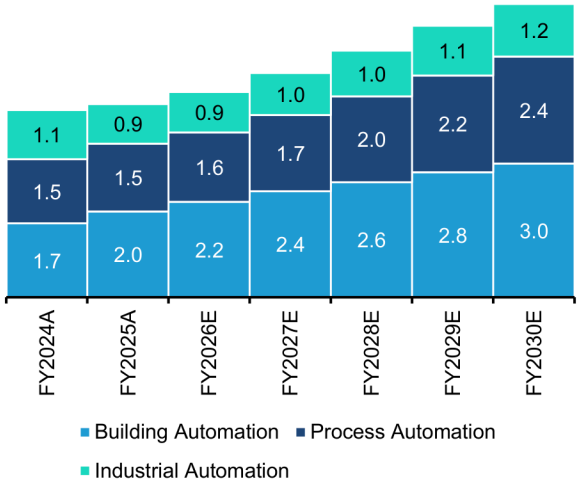
$bn



Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 9: **HON EBIT per segment**

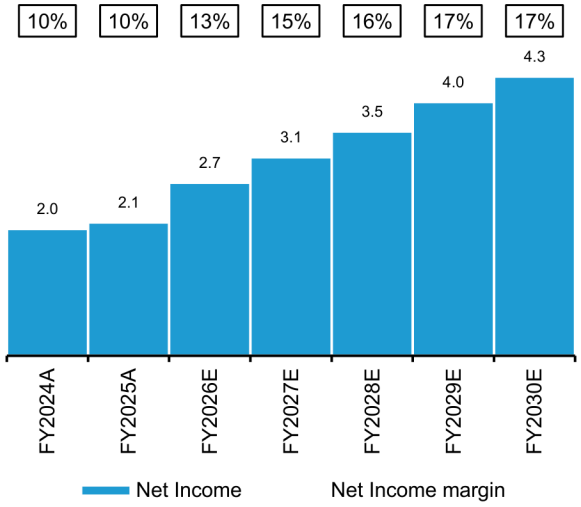
$bn



Source: Company reports, Bernstein estimates and analysis

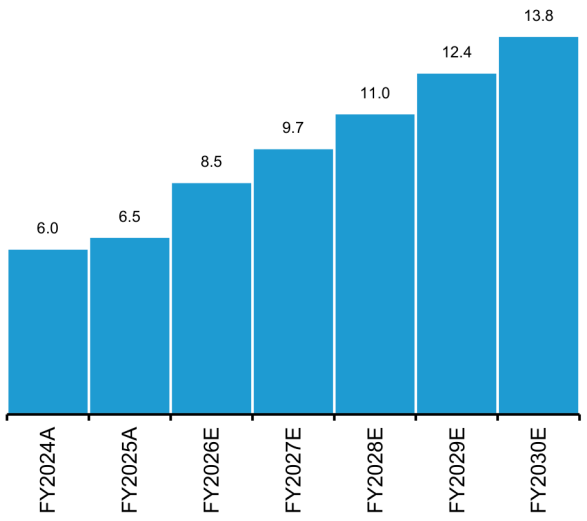
EXHIBIT 10: **HON Net Income & Net Income margin %**

$bn



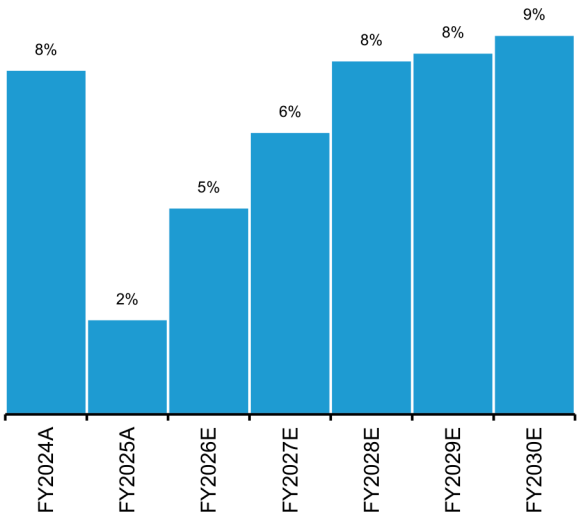
Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 11: **HON Adj. EPS ($)**



Source: Bloomberg, Company reports, Bernstein estimates and analysis

EXHIBIT 12: **HON ROIC%**



Source: Bloomberg, Company reports, Bernstein estimates and analysis

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 13: **HON financial summary**

Income Statement (M)	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
New Equipment	14,344	14,579	14,590	14,973	15,969	17,084	18,180
Services	4,937	5,366	5,544	5,637	6,013	6,433	6,845
Total revenue	**19,281**	**19,945**	**20,135**	**20,610**	**21,982**	**23,517**	**25,025**
Total Gross Profit	**7,774**	**7,880**	**8,200**	**8,381**	**8,948**	**9,625**	**10,460**
Underlying EBIT	**2,678**	**2,474**	**2,746**	**4,372**	**5,112**	**5,467**	**6,105**
Group EBIT margin	**13.9%**	**12.4%**	**13.6%**	**21.2%**	**23.3%**	**23.2%**	**24.4%**
Net Income to shareholders	1,302	1,368	6,972	3,010	3,602	3,885	4,300
Diluted underlying EPS ($)	**6.04**	**6.46**	**8.45**	**9.69**	**10.95**	**12.43**	**13.77**
Diluted shares outstanding (m)	328	321	319	319	319	318	316

Balance Sheet (M)	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
PP&E	6,194	4,629	2,906	3,706	4,506	5,306	6,106
Other non-current assets	47,288	43,294	38,767	38,707	38,647	38,587	38,527
Other current assets	27,908	30,387	14,502	16,775	19,668	22,410	25,530
Cash and cash equivalents	10,953	12,930	5,978	7,771	10,135	12,314	14,902
Total assets	**75,196**	**73,681**	**53,269**	**55,482**	**58,315**	**60,997**	**64,057**
Current liabilities ex-debt	15,636	15,975	8,346	8,552	8,778	9,020	9,210
Total debt	31,099	34,580	16,593	16,593	16,593	16,593	16,593
Pension	112	111	80	80	80	80	80
Other non-current liabilities	9,188	7,985	5,067	5,067	5,067	5,067	5,067
Minorities	542	1,126	247	287	327	367	407
Total equity ex-minorities	18,619	13,904	22,936	24,904	27,469	29,870	32,700
Total equity and liabilities	**75,196**	**73,681**	**53,269**	**55,482**	**58,315**	**60,997**	**64,057**

Cash Flow Statement (M)	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
Underlying EBIT	2,678	2,474	2,746	4,372	5,112	5,467	6,105
Deprecitation & Amortisation	1,288	1,493	1,134	1,460	1,460	1,460	1,460
Working capital	(375)	(791)	(2,028)	(274)	(302)	(322)	(342)
Net capex	(1,072)	(1,173)	(965)	(1,400)	(1,400)	(1,400)	(1,400)
Other cash movements	123	(83)	(7,886)	(2,365)	(2,507)	(3,026)	(3,235)
Change in cash and cash equivalents	**2,642**	**1,920**	**(6,999)**	**1,793**	**2,364**	**2,179**	**2,588**

Source: Bloomberg, Company reports, Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

			22 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
			Closing	Price	Rel.						
Ticker	Rating	Cur	Price	Target	Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
HON (Honeywell)	M	USD	218.31	**256.00**	(7.4)%	USD	6.46	**8.45**	**9.69**	33.8	25.8	22.5
OLD				254.00				8.31	9.72			
SPX			7,663.43									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

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VALUATION METHODOLOGY

Quantinuum Inc.

We value Quantinuum shares based on our estimate for 12-month forward Revenue in 1 year's time ($218M), and apply an EV/Forward Sales multiple of 115x. We then add back the net cash, and divide by share count of 279M, arriving at price target of $95.

Honeywell International Inc

We rate Honeywell Market-Perform with a $256 target price. Based on updates per guidance, we use an NTM + 1 EPS of $10.61 at a 22x forward PE multiple. We then add ~$15 per share of value from their stake in QNT (assuming current market price).

RISKS

Quantinuum Inc.

Downside risks to our price target for QNT include: 1) it could take longer for Quantinuum to execute and deliver the next generations of quantum computers (SOL and APOLLO); 2) the engineering / manufacturing problems are more intractable than expected; 3) a breakthrough occurs with one of the other quantum particle based modalities (e.g. topological, semiconductor, etc.); 4) a competitor is able to accelerate their roadmap and substantially beating Quantinuum to market and is able to take more of the market than expected; 5) the market size is smaller than the industry experts expect; or 6) it takes longer for Quantinuum to convert their pipeline of business to revenue.

Honeywell International Inc

Upside: (i) Continued growth in Building Automation, Positive uptake of Forge product reflecting in more recurring revenue, Margin expansion in IA business post WWS / PPS spin

Downside: (i) Power prices stay stable or decline as supply comes online (reducing impetus for building automation), (ii) Weakness / delays in LNG projects which market is not pricing, (iii) Organizational drag from spin-off of aerospace

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

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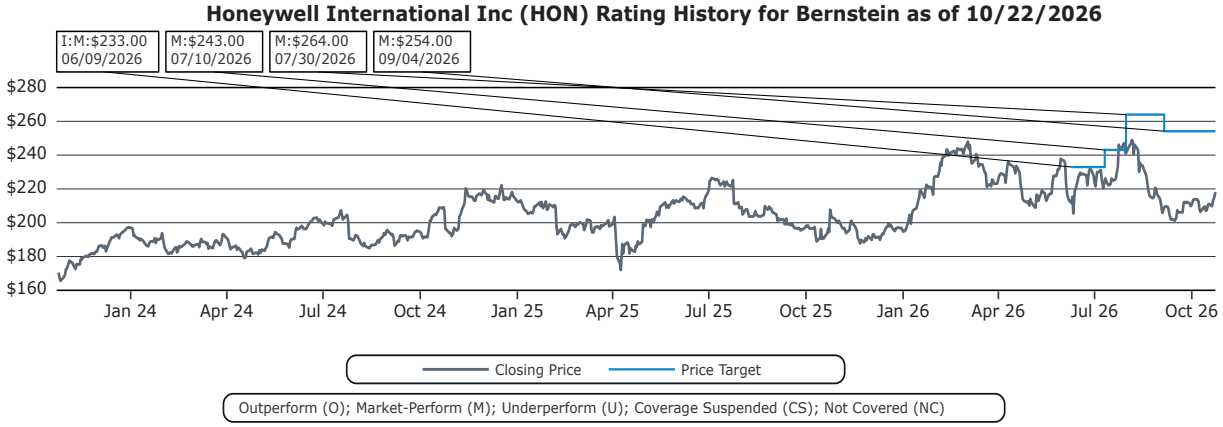
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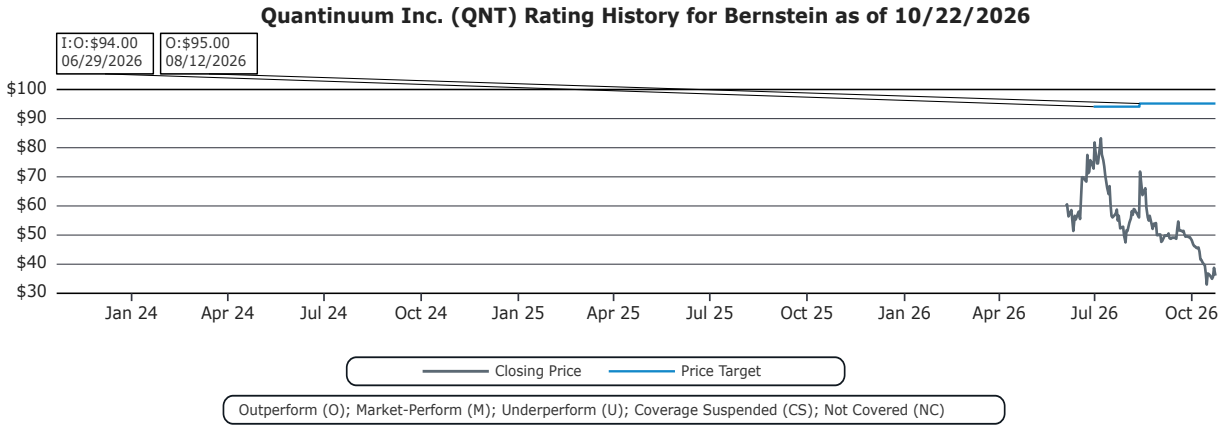
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